

Chapter Eight Change and its effects

General Concepts of Change: What is the difference between change and reform?

The Meaning and Sources of Change and Innovation

What is Change?

In the dictionary, change is defined as,

- Making or becoming different
- Difference from previous state
- Substitution of one for another
- Variation (Online Merriam Webster dictionary).

Generally, we can define change as the alteration of the status quo or making something different. This change could be a major or merely incremental (example: radical and incremental).

General Concepts....Types of Changes

- Continuous Change (e.g. Kaizen, QMS) and
- Radical Change (e.g. TQM)

Reform: Make changes in (something, especially an institution or practice) in order to improve it.

“The Bill will reform the tax system”

Reform is amendment of what is defective, vicious, corrupt, or depraved; reformation; as reform of elections; reform of government while change is the process of becoming different.

General Concepts.....Change...Cont'd

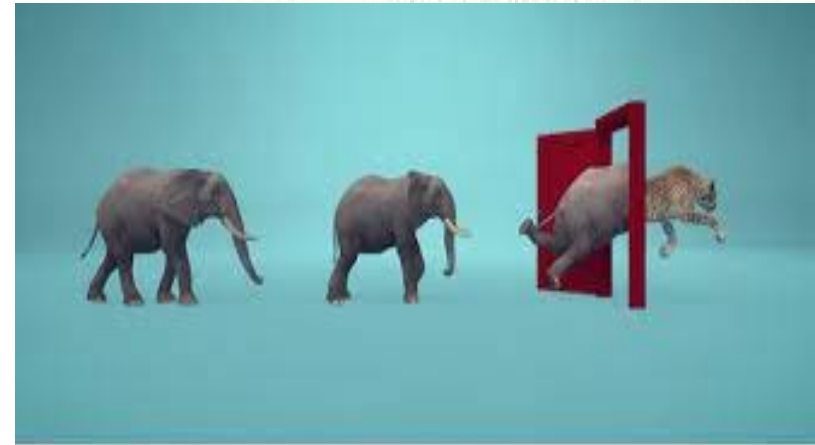
Motivation Questions:

1. What are the major changes in your life that you have undergone?
2. What is Change in your organization?
3. What is reform?



General Concept of Change...Cont'd

- Getting a job after graduating from college
- Getting married
- Having a child
- Children leaving home for college
- Getting a new computer
- Losing a job
- Divorce
- Death of a parent or What?!!!



General Concepts...Change...Cont'd

Change management checklist

- ✓ Define the project vision and key outcomes.
- ✓ Use vision and goals to determine the messaging strategy.
- ✓ Create a communications plan.
- ✓ Identify and engage stakeholders.
- ✓ Identify and engage change champions.
- ✓ Create a thorough plan for testing.
- ✓ Use training for instruction—and for marketing the new system.

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Adapt

Develop

Innovate

**ORGANIZATIONAL
CHANGE**

Adjust

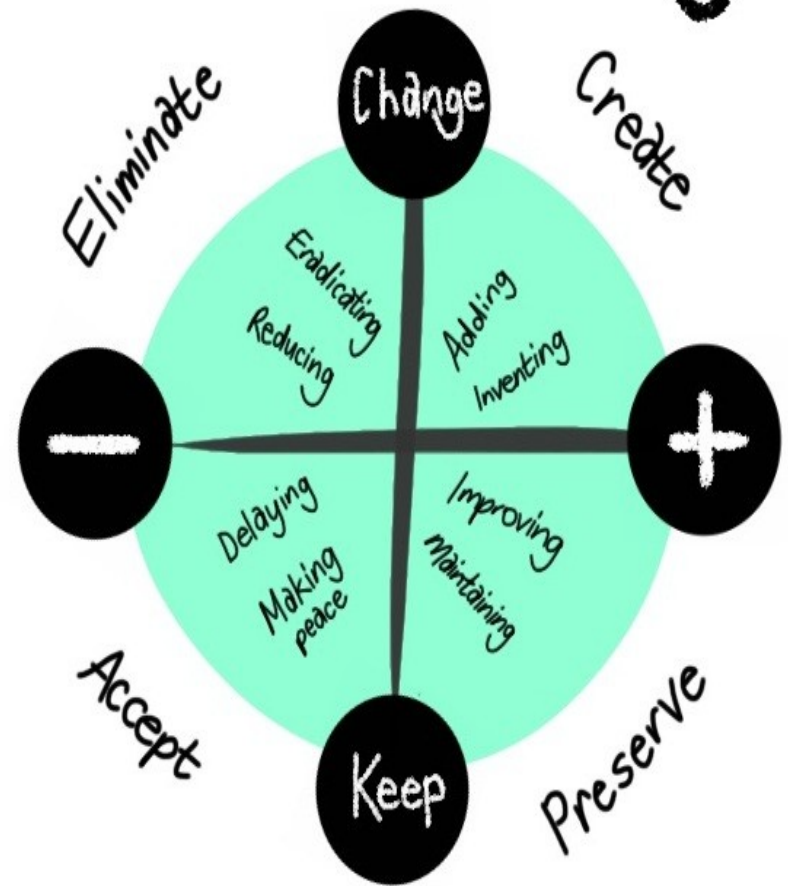
Advance

Modify

General Concepts...Change...Cont'd



The Wheel of Change



Model: Marshall Goldsmith

Visual: www.discoveryindaction.com.au

General Concepts...Change...Cont'd

- Marshall offers a simple model he calls ‘ **The Wheel of Change**’ that can help people to process the variety of options that are presented when wanting to become a better version of ourselves.
- It illustrates “the **interchange of two dimensions** we need to sort out before we become the person we want to be : the **Positive to Negative axis tracks** the elements that either help us or hold us back.

General Concepts...Change...Cont'd

- The 'Change to Keep' axis tracks the elements that we determine to change or keep in the future.
- In pursuing any behavioural change we have four options:
 - 1.Change or keep the positive elements, and**
 - 2. Change or keep the negative.**

General Concepts...Change...Cont'd

- **Creating** represents the positive elements that we want to create in our future – things to add or invent,
- **Preserving** represents the positive elements that we want to keep in our future – things to maintain or improve,
- **Eliminating** represents the negative elements that we want to eliminate in our future – things to reduce or eradicate, and
- **Accepting** represents the negative elements that we need to accept in our future – things we try to delay or make peace with.

What is Change in organization?

- 'Change favors only the prepared mind'. --- Louis Pasteur
- Change is the observation of difference over time in one or more dimensions of the organization. It refers to alterations at the broadest level among individuals, groups, and at the collective level across the entire organization (Kezar, 2001).
- Change also refers to the adoption of an innovation where the ultimate goal is to improve outcomes through an alteration of practices (Kezar, 2001).

Change in...Cont'd

- Change is a phenomenon that is inevitable in the schools, which are faced with new demands and circumstances of the changing education system.
- It also refers to the new ways of organizing and working organization arrangements involving relationships, understandings and processes in which people are employed (britishcouncil.org).

Change in...Cont'd

- To sum up, change in organization refers **any planned or unplanned alteration in an organization's processes, strategy, structure, technology, and/or people.**
- It is the process of moving an organization from a current state (how things are done today) through a transition state to a desired future state (the new processes, systems, organization structures or job roles as well as new skills, knowledge, and attitudes of people have been brought into the organization).

Models of Change

- Change is an inevitable, yet difficult, aspect of a growing business. However, you don't need to adopt a “resistance is futile” attitude to get people on board and drive change.
- **Change Management** models are designed to act as compasses that help you to navigate difficult transitions and guide you and your team towards more than acceptance – to adopt new processes and maximizing ROI (Return on Investment) for business process changes.

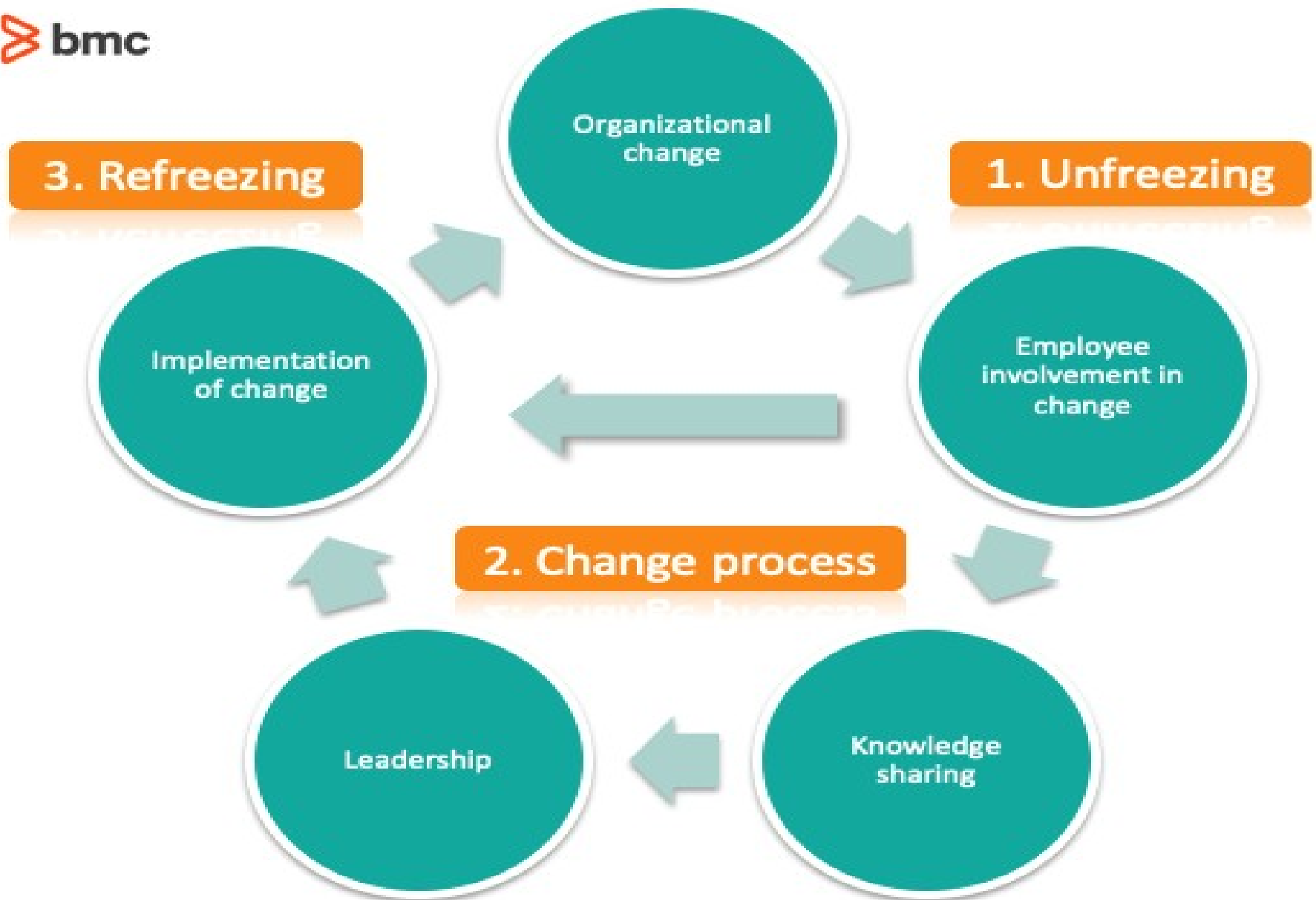
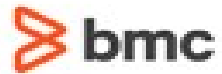
Change Management Models

What are the best change management models? The following are the ten change management models:

1. Lewin's Change Management Model
2. McKinsey 7-S Model
3. Nudge Theory
4. The ADKAR Change Management Model
5. Kübler-Ross Change Curve
6. Bridges' Transition Model
7. Satir Change Model
8. Kotter's 8-Step Theory
9. Maurer 3 Levels of Resistance and Change Model
10. Deming Cycle (PDCA)

Note that: Read the detail information about each model.

1.Lewin's Change Management Model



The 3 Stages of Change

Step 1: Unfreeze

- **Determining what needs to change.**
 - Survey your company.
 - Understand why change is necessary.
- **Ensuring support from management and the C-suite.**
 - Talk with stakeholders to obtain support.
 - Frame your issue as one that positively impacts the entire company.
- **Creating the need for change.**
 - Market a compelling message about why change is best.
 - Communicate the change using your long-term vision.

The 3 Stages of Change...Cont'd

Step 2: Change

Once you have “unfrozen” the status quo, you may begin to implement your change.

- **Information flow** refers to sharing information across multiple levels of the organizational hierarchy, making available a variety of skills and expertise, and coordinating problem solving across the company.
- **Leadership** is defined as the influence of certain individuals in the group to achieve common goals. A well-planned change process requires defining a vision and motivation.

The Three Stages of Change...Cont'd

According to Lewin, a change left without adequate reinforcement may be short-lived and therefore fail to meet the objectives of a change process.

During the Change phase, companies should:

- **Communicate widely and clearly** about the planned implementation, benefits, and who is affected. Answer questions, clarify misunderstandings, and dispel rumors.
- **Promote and empower action.** Encourage employees to get involved proactively with the change, and support managers in providing daily and weekly direction to staff.
- **Involve others as much as possible.** These easy wins can accumulate into larger wins, and working with more people can help you navigate various stakeholders.

The Three Stages of Change...Cont'd

Step 3: Refreeze

The purpose of the final step—refreezing—is to sustain the change you've enacted. The goal is for the people involved to consider this new state as the new status-quo, so they no longer resist forces that are trying to implement the change. The group norms, activities, strategies, and processes are transformed per the new state.

The Three Stages of Change...Cont'd

In the Refreeze Phase, companies should do the following:

- [illegible]

Kotter's Eight Step Model



01 Create

Establish a feeling of urgency of hurriedness towards change.

02 Build

Formulate a guiding coalition

03 Form

Develop a strategy to bring about change.

04 Enlist

Communicate or put forth the vision or strategy for change

05 Enable

Empower employees for taking action to incorporate changes

06 Generate

Formulate and generate short-term goals

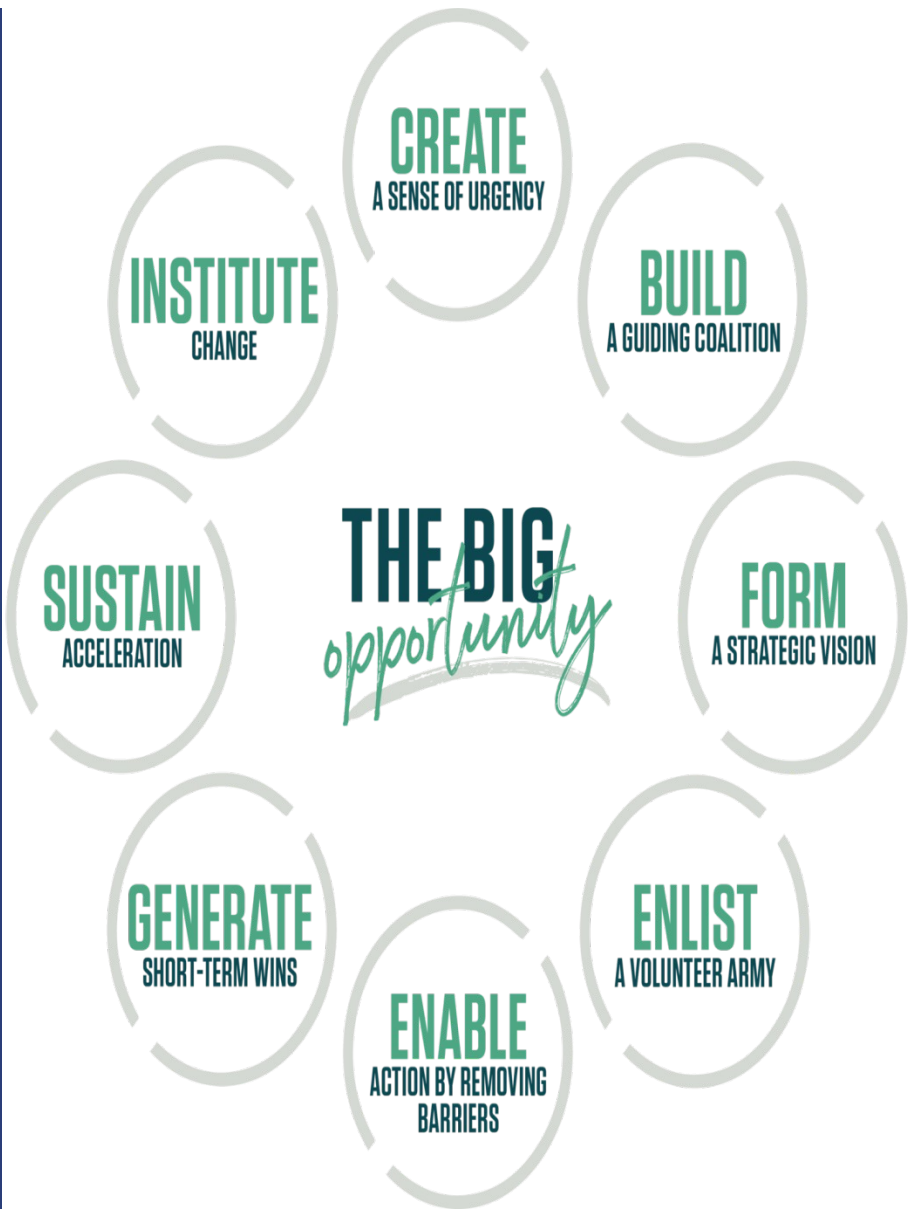
07 Sustain

Capitalize of wins or gains in order to produce bigger results

08 Institute

Incorporate new and better changes in workplace culture

Kotter's Change Model...Cont'd



The Prosci ADKAR Model of Change

THE PEOPLE SIDE OF CHANGE



PHASES OF A CHANGE PROJECT

What is Innovation?

- ‘Just as energy is the basis of life itself, and ideas are the source of innovation, so is innovation the vital spark of all human change, improvement and progress’.--- Theodore Levitt.
- ‘Innovation is the creation of the new or the re-arranging of the old in a new way’. --- Michael Vance.

Innovation...Cont'd

Innovation is,

- The process of making changes by introducing something new that adds value to clients like stakeholders and contributes to the knowledge store of the organization.
- Ideas have little value until they are converted into new rules, services or processes (innovation) (Kezar, 2001).

What is the Difference between **Innovation** and **Inventions**/Creativity?

- **Innovation** is often used in conjunction with terms such as creativity/invention. However, they are different in meaning.

Invention: 'The best way to predict the future is to invent it'. Alan Kay

Invention is,

- Creating something new that has never existed before.
- Often about creating something that has yet to be desired by a customer.
- The relationship between invention and innovation is: Innovation = Invention + Exploitation.
- If an invention can be exploited or used and transformed into change that adds value to a client, then it becomes an innovation (www.sagepub.com)

- ‘There is a way to do it better’. ---- Thomas Edison.
- ‘People can be motivated to creativity simply with the instruction to “be creative.” --- Richard Saul Wurman.
- ‘**Creativity is thinking up new things. Innovation is doing new things**’. --- Theodore Levitt.
- **Creativity is the ability to bring something new into existence.** This definition emphasizes the “ability,” not the “activity” of bringing something new into existence. For example, a person may conceive of something new and envision how it will be useful, but not necessarily take the necessary action to make it a reality.

Creativity...cont'd

- **Innovation is the transformation of creative ideas into useful applications, but creativity is a prerequisite to innovation.** In other way, we could put it as follows:
- Innovation = Creativity + Exploitation (www.sagepub.com)
- **Sayings that can kill innovation and creativity in organizations (killer phrases):**
 - That is impossible!”
 - “We tried it before.”
 - “I wish it were that easy.”
 - “It is against policy.”
 - “When you have been here longer, you will see why.”
 - “The experts say...”
 - “Who gave you permission to change the rules?”

Sources of Change and Innovation

Sources or drivers of changes can be summarized as follows:

- **Emerging changes in the external environment,**
- **Emerging changes in the internal environment,**

External Environment. All organizations are affected by changes in their external environment; these changes can be another driver of change and innovation. These changes can occur through macro shifts in the **economic, social, or technological environment.**

Let us discuss these three main factors in short as follows.

Sources of Change

- Economic Condition
- Social Change
- Technology
- Policy and legal change

Internal Environment:

- 1.Changes in the managerial personnel,
2. Deficiency in the existing organization, and
3. Nature of the work force.

